Appendix Q
(Clause P1 of the *additional conditions of contract*)

Sample Letter to the Main Contractor regarding Subcontractor's Request for Direct Payment of Outstanding Adjudicated Amount under a Relevant Subcontract

Dear Sir,

Contract No.: HY/2022/14
Contract Title: Modification Works of Noise Barriers along Yuen Long Highway near Park Signature

I refer to the letter dated _____ from (name of the subcontract claimant) (hereinafter referred to as "**Subcontract Claimant**") in respect of (contract no. / title of the Relevant Subcontract) (hereinafter referred to as "**Relevant Subcontract**") requesting the *Client* to make direct payment of the adjudicated amount of (adjudicated amount) , for which, as alleged by him, (name of the subcontract respondent or the Contractor as the case may be) (hereinafter referred to as "**Subcontract Respondent**") failed to pay in accordance with the adjudication decision dated (date of the adjudication decision) .

Pursuant to SOP Clause 43(3) of **Appendix N** to the *additional conditions of contract*, you are required to certify and submit documentary proof to the *Client* on or before (insert the date, which is 28 days from the date of this letter) for the following matters:

(i) whether and to what extent payment has been made to the Subcontract Claimant by the Subcontract Respondent, or by any subcontractor at higher tiers to the Subcontract Respondent, and whether the Subcontract Claimant has been satisfied with such payment as full settlement of the adjudicated amount;

(ii) whether the adjudication decision is not binding on the Subcontract Claimant and Subcontract Respondent and if so why;

(iii) whether any subcontractor at higher tiers to the Subcontract Claimant has become bankrupt or has had a receiving order made against him or has presented a petition in bankruptcy or has made an arrangement with or assignment in favour of his creditors or has agreed to carry out his Relevant Subcontract under a committee of inspection of his creditors or (being a corporation) has gone into liquidation (other than voluntary liquidation for the purposes or amalgamation or reconstruction), administration or receivership or otherwise become insolvent;

(iv) whether any subcontractor at higher tiers to the Subcontract Respondent will be unable to recover the amount of direct payment (to be made by the *Client*) by way of deduction from their payments due (or which may become due) to their subcontracting parties at next lower tier under their subcontract; and

(v) if it is affirmative on item (iv) above, the appropriate amount of direct payment that the *Client* could make.

Yours faithfully,

_____

(Designation of Chief Engineer)

(Name of Project Office/Department)

Encl. (letter from the Subcontract Claimant, including the submitted supporting documents)

c.c. (*Project Manager* for the contract)
(Subcontract Claimant)
(Subcontract Respondent)

(…) *Update as appropriate*